Sector Underwriting Note: IT Services

ASHVA CAPITAL INTERNAL CREDIT POLICY MANUAL
SECTION 14: SECTOR-SPECIFIC UNDERWRITING STANDARDS — IT SERVICES SME
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14.1 PURPOSE AND APPLICABILITY 14.1.1 This section governs the evaluation, structuring, and approval of credit facilities extended to Small and Medium-sized Enterprises (SMEs) operating within the Information Technology (IT) Services sector. Underwriters are strictly bound by the numeric thresholds and procedural directives contained herein.

14.2 SECTOR PORTFOLIO EXPOSURE CAPS 14.2.1 Total aggregate credit exposure to the IT Services sector shall not exceed 16.0 percent of Ashva Capital’s total active loan book. 14.2.2 As of the current reporting cycle, sector exposure stands at 11.3 percent, leaving residual headroom of 4.7 percent for new originations. 14.2.3 Any loan application that would breach the 16.0 percent ceiling must be rejected at the pre-screening stage unless accompanied by a formal Portfolio Rebalancing Waiver signed by Chief Risk Officer Marcus Vance and Chief Credit Officer Sarah Lin.

14.3 WORKING CAPITAL CYCLE AND CASH FLOW DYNAMICS 14.3.1 The typical working capital cycle for IT Services SMEs is defined as 55 days, calculated from invoice generation to final cash collection. 14.3.2 Accounts Receivable (AR) aging analysis must confirm that at least 85.0 percent of current receivables fall within the 0 to 60-day bucket. Any applicant with greater than 15.0 percent of receivables in the 90+ days past due category is ineligible for standard working capital lines. 14.3.3 Seasonality Adjustments: The IT Services sector exhibits no marked season. Revenue streams derived from Master Services Agreements (MSAs) and recurring software maintenance contracts are deemed stable throughout the four fiscal quarters. Underwriters shall not apply seasonal revenue lifts or troughs when projecting debt service capacity.

14.4 DEBT SERVICE COVERAGE RATIO (DSCR) FLOOR 14.4.1 The minimum Debt Service Coverage Ratio (DSCR) floor for all IT Services SME credit facilities is 1.25x. This aligns with Ashva Capital’s baseline standard and permits no downward adjustment based on projected contract renewals. 14.4.2 Historical DSCR must be demonstrated for a minimum of 24 months prior to application, verified via audited financial statements or corporate tax filings.

14.5 MAXIMUM TENOR AND FACILITY STRUCTURES 14.5.1 The maximum allowable loan tenor for term debt facilities in the IT Services sector is 48

months. Working capital revolving lines are subject to an annual review with a hard maturity cap matching the 48-month limit prior to mandatory principal amortization restructuring. 14.5.2 Bullet repayment structures are prohibited; all facilities must incorporate equal monthly principal installments commencing no later than 30 days post-disbursement.

14.6 PRIMARY CAUSES OF DISTRESS Underwriters must explicitly evaluate and document mitigants against the two most common causes of distress in the IT Services sector: 1. Client Concentration Risk: Distress frequently arises when a single enterprise client accounts for more than 30.0 percent of the borrower’s total annual top-line revenue, leaving the SME vulnerable to sudden vendor consolidation or contract termination. 2. Key-Person and Talent Attrition: Margin compression and delivery failure resulting from the departure of critical software architects, project managers, or engineering leads holding proprietary domain knowledge. Borrowers must maintain retention agreements for at least 80.0 percent of tier-one technical staff.

14.7 ACCEPTABLE COLLATERAL TYPES 14.7.1 Eligible collateral is restricted to the following asset classes, subject to the specified advance rates: * First-Rank General Floating Charge: Over all present and future book debts and receivables, valued at an advance rate not exceeding 75.0 percent of eligible accounts receivable under 90 days. * Commercial Office Real Estate: First legal mortgage over unencumbered commercial property owned by the operating company or guarantors, subject to a maximum Loan-to-Value (LTV) ratio of 65.0 percent based on an independent valuer's report dated within the last 90 days. * Cash Collateral / Fixed Deposits: Lien over liquid term deposits held with Ashva Capital or scheduled banking partners, accepted at a 100.0 percent advance rate.

14.8 EXCEPTION PROTOCOL 14.8.1 Deviations from the parameters set forth in this document (specifically regarding AR aging limits, client concentration caps, or collateral advance rates) require joint written sign-off from Head of Underwriting David Thorne and Chief Credit Officer Sarah Lin. Operational staff executing unapproved variances face immediate disciplinary review under HR Policy Directive 404.